

SUITABILITY OF ASSETS

Now we know the asset options made available to us. The following list guides us towards allocating money amongst the three and the one that would be the best suited.

For anyone who has moderate or high risk-taking ability (2.5 or greater than 2.5), should put the entire 80C investment component in ELSS. This is because money is anyways locked-in in other assets and over the long term, ELSS would produce the best returns as compared to other assets.

For anyone with a low risk-taking ability (less than 2.5) and having long term goals that they intend to meet with these savings – they are better off with PPF. The higher interest rate allows them to hold money here for longer-term. PPF is the most popular tax saving asset today – mainly because of its debt-like nature and distinctly higher interest rate.

For those who intend to meet medium-term goals (5-7 years) and have a low risk-taking ability (less than 2.5), they shall invest the 80C investment component in National Savings Certificate. For medium-term goals, NSC is better than ELSS because ELSS is linked to equity and cannot always be sold when required.

Note that we should prioritize financial goals and not tax savings. Tax saving can be an added benefit. If we opt for a tax-saving asset class but are unable to reach our goal, then it makes no sense.

GOAL RISK SCORE	SHORT TERM	MEDIUM TERM	LONG TERM
> 2.5	DO NOT GO FOR ANY TAX BENEFIT	ELSS	ELSS
< 2.5		NSC	PPF